

serendipitous, surprising, and took a while to digest. Legend has it that Albert and Raiffa, the researchers who noticed it, were actually looking for something quite different, and more boring: how humans figure out probabilities in their decision making when uncertainty is involved (what the learned call *calibrating*). The researchers came out befuddled. The 2 percent error rate turned out to be close to 45 percent in the population being tested! It is quite telling that the first sample consisted of Harvard Business School students, a breed not particularly renowned for their humility or introspective orientation. MBAs are particularly nasty in this regard, which might explain their business success. Later studies document more humility, or rather a smaller degree of arrogance, in other populations. Janitors and cabdrivers are rather humble. Politicians and corporate executives, alas ... I'll leave them for later.

Are we twenty-two times too comfortable with what we know? It seems so.

This experiment has been replicated dozens of times, across populations, professions, and cultures, and just about every empirical psychologist and decision theorist has tried it on his class to show his students the big problem of humankind: we are simply not wise enough to be trusted with knowledge. The intended 2 percent error rate usually turns out to be between 15 percent and 30 percent, depending on the population and the subject matter.

I have tested myself and, sure enough, failed, even while consciously trying to be humble by carefully setting a wide range—and yet such underestimation happens to be, as we will see, the core of my professional activities. This bias seems present in all cultures, even those that favor humility—there may be no consequential difference between downtown Kuala Lumpur and the ancient settlement of Amioun, (currently) Lebanon. Yesterday afternoon, I gave a workshop in London, and had been mentally writing on my way to the venue because the cabdriver had an above-average ability to “find traffic.” I decided to make a quick experiment during my talk.

I asked the participants to take a stab at a range for the number of books in Umberto Eco's library, which, as we know from the introduction to Part One, contains 30,000 volumes. Of the sixty attendees, not a single one made the range wide enough to include the actual number (the 2 percent error rate became 100 percent). This case may be an aberration, but the distortion is exacerbated with quantities that are out of the ordinary. Interestingly, the crowd erred on the very high and the very low sides: some set their ranges at 2,000 to 4,000; others at 300,000 to 600,000.

True, someone warned about the nature of the test can play it safe and set the range between zero and infinity; but this would no longer be “calibrating”—that person would not be conveying any information, and